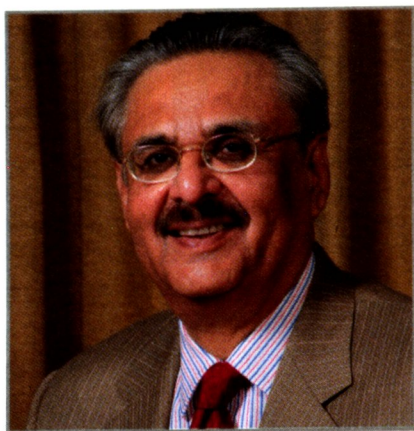




NEW PARADIGM OF COMPETITIVENESS: POSITIONING ITC FOR THE CHALLENGES OF TOMORROW

Speech by Mr. Y. C. Deveshwar, Chairman, ITC Limited
at the 98th Annual General Meeting, 24th July 2009

The year gone by has indeed been one of the most challenging for the world economy. The unprecedented financial crisis, acknowledged today as the worst since the Great Depression, has brutally shaken the foundations of some of the strongest economies in the world. Nearly 40 million jobs have been lost. Cumulative losses from bankruptcy, closures and failed businesses are pegged at trillions of dollars. Though Governments across continents have responded speedily and in rare unison, the path to recovery is expected to be long and arduous.

India has not been immune to this shock. While at the aggregate level, our country has displayed remarkable resilience sustaining relatively high growth rates, several sectors have been adversely impacted. Though there are signs today of a muted recovery, it is early days yet to signal a full-fledged revival.

Despite this pall of gloom that bears on us, there are reasons to remain optimistic and confident. India's inherent strengths provide a strong foundation to better withstand the aftermath of the downturn in the global economy. The recent election of a strong and stable Government, displaying the finest traditions of a vibrant democracy, have also ignited new hopes and the expectation of a better tomorrow.

FINANCIAL PERFORMANCE

Despite the very difficult external economic environment, your Company delivered another year of steady performance. Gross Turnover for the year grew by 8.4% to Rs. 23143.53 crores. Net Turnover at Rs. 15388.11 crores grew by 10.3% driven by a robust 20% growth in the non-cigarette

FMCG businesses. The non-cigarette portfolio accounted for 51% of the Company's Net Turnover. EBITDA grew by 7.5 % to Rs. 5393.47 crores, while Post-tax profit at Rs. 3263.59 crores registered a growth of 4.6%. Cash flows from Operations touched an all time high of Rs. 4706 crores.

Your Company's creation of national assets in agriculture, manufacturing and services has helped build a secure future for the Company, its stakeholders and the nation. With your valued support, your Company has invested in the businesses of the future based on strong capabilities in R&D, innovation and technology. Strengthened by robust farmer relationships, world-class manufacturing practices, and a rich lineage of branding, trade marketing and distribution, your Company is moving purposefully ahead to continuously create superior value for all its stakeholders.

THE CHALLENGES OF DEVELOPMENT

The recent global financial meltdown is indeed an important wake up call for the world economy. It is more than evident today that Economic Growth and Sustainable Development are not necessarily the same thing. The last century and a half, since the Industrial Revolution, has witnessed unparalleled material development. Unfortunately, such material development has come at a significant cost.

It is indeed a tragedy that more than half of the global population is still plagued by the worst forms of poverty, hunger and disease. A UNDP Report prepared a few years ago, pointed out that 10 % of the richest adults in the world own as much as 85% of the world's household wealth, while the bottom 50% have to contend with only 1% of household wealth. These widening income inequities are indeed a source of widespread discontent and social alienation. The spectre of social unrest and terrorism threaten every corner of the world today. This divide is of even more concern to developing nations. With large numbers of people living on the edge of despair and insecurity, these disparities make them extremely vulnerable and create unstable societies.

Aggravating these inequities is the tremendous strain imposed on nature's life support systems. For decades, the growth process has paid scant attention to replenishing the rich natural resources inherited over many generations. As a consequence, in less than half a century, the world has lost a fourth of its topsoil and a third of its forest cover. In the last 35 years alone, a third of global bio-diversity was forfeited. Scientific evidence today confirms that humanity's demand on the planet's living resources now exceeds its regenerative capacity by a wide margin. It now takes the Earth one year and four months to regenerate resources used in a single year. And if this continues apace, the equivalent of two Earths will be needed to support humanity's resource requirements by mid 2030s. The current global economic model is therefore clearly unsustainable.

Indeed, the world has been living far beyond its means. And in the process, the future has been seriously compromised. The global economic model has perpetuated a system of rewards that focuses only on the generation of financial returns. In such an environment, the source of competitiveness for business is derived from a relatively narrow purpose of expanding consumer franchise and enhancing shareholder value. Conventional Balance Sheets and Profit & Loss Statements also do not take into account the cost burden of social inequities and ecological destruction. Unfortunately,

